



CHAPTER 37.

An Act to amend the Courts (Emergency Powers) Act, 1939. [10th July 1940.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) Where an application is made by the lessor or mortgagee of any premises, other than a dwelling-house to which the Rent and Mortgage Interest Restrictions Acts, 1920 to 1939, apply, for leave to exercise any of the rights and remedies mentioned in subsections (1), (2) and (3) of section one of the principal Act, being a right or remedy arising in consequence of a default in the payment of rent or mesne profits, or, as the case may be, in the payment of any instalment of or interest on mortgage money, the appropriate court, if it gives leave subject to restrictions and conditions, shall not make the leave conditional on any default in the payment of rent or mesne profits falling due after the date of the hearing of the application or, as the case may be, on any default in the payment of any mortgage money or interest thereon falling due after that date; but nothing herein shall be taken as prejudicing the power of the court, on any subsequent application for leave to exercise the same right or remedy, to vary the conditions or give unconditional leave, having regard to any such default occurring after the first application but before the subsequent application.

Amend-
ment of s. 1
of Courts
(Emergency
Powers)
Act, 1939,
as respects
defaulting
tenant or
mortgagor.

(2) Where the appropriate court, after the passing of this Act, refuses leave under the said section one to enforce a judgment or order for the recovery of possession of any such premises as aforesaid in default of payment of rent, or gives such leave subject to restrictions and conditions, the lease shall be deemed not to have been forfeited and shall continue in force so long as the judgment or order remains unenforceable, but no longer.

(3) Where the appropriate court, before the passing of this Act, has refused leave under the said section one to enforce a judgment or order for the recovery of possession of any such premises as aforesaid in default of payment of rent, or has given such leave subject to restrictions and conditions, and the judgment or order remains unenforceable, the person who, if the lease had not been forfeited, would be entitled to the benefit thereof, may apply to the court for relief from forfeiture, and the court may grant such relief and direct that it shall have effect so long as the judgment or order remains unenforceable, but no longer.

(4) Where relief is granted under the last foregoing subsection from forfeiture of a lease, any order made under subsection (4) of section one hundred and forty-six of the Law of Property Act, 1925, vesting the premises or any part thereof in an under-lessee shall have effect subject to the relief so given.

15 & 16
Geo. 5. c. 20.

Power of
court to take
account of
other
liabilities.

2.—(1) It is hereby declared for the removal of doubt that on an application for leave to exercise any of the rights or remedies mentioned in subsections (1), (2) and (3) of section one of the principal Act, the appropriate court—

- (a) in determining whether the person liable to satisfy the judgment or order, or to pay the rent or other debt, or to perform the obligation, in question is unable immediately to do so by reason of circumstances directly or indirectly attributable to any war in which His Majesty may be engaged; or
- (b) in determining the restrictions and conditions (if any) subject to which the leave is to be given;

may take account of other liabilities, whether present or future, of that person :

Provided that nothing in this subsection shall be construed as affecting the provisions of the foregoing section of this Act or as enabling the court to make the leave conditional on a failure to satisfy any such other liability.

(2) Rules made under the principal Act may provide for the service of notice of any such application upon persons, other than the applicant, having claims against the person liable as aforesaid, and for enabling such persons to be heard at the hearing of the application.

3.—(1) Where an application is made by the mortgagee of a dwelling-house for leave to exercise in relation to the mortgage or the dwelling-house any of the rights or remedies mentioned in subsections (2) and (3) of section one of the principal Act, and the mortgagor is a person serving in the armed forces of His Majesty or mainly dependent on a person so serving, the appropriate court, unless it is satisfied that the mortgagor is able immediately to pay the debt or to perform the obligation in question or that his inability to do so does not arise by reason of circumstances directly or indirectly attributable to any war in which His Majesty may be engaged, may in its absolute discretion refuse leave for the exercise of that right or remedy or give leave therefor subject to such restrictions and conditions as the court thinks proper.

Provisions
as to
mortgages.

(2) Where at the hearing of any such application as aforesaid the mortgagor is not present or is not represented, he shall, unless the contrary is proved by the applicant, be deemed for the purposes of the foregoing subsection to be a person serving in the armed forces of His Majesty or mainly dependent on a person so serving.

(3) Rules made under the principal Act may provide that, in such cases and subject to such conditions as may be specified in the rules, the leave of the appropriate court to appoint a receiver of the rents and profits of any mortgaged dwelling-house may be given on the ex-parte application of the mortgagee.

(4) For the avoidance of doubt it is hereby declared that subsection (1) of section one of the Possession of Mortgaged Land (Emergency Provisions) Act, 1939 (which restricts the right of mortgagees to obtain possession of land mortgaged before the third day of September

2 & 3 Geo. 6.
c. 108.

nineteen hundred and thirty-nine) applies to any right to obtain possession conferred on the mortgagee by virtue of any attornment or other provision contained in the mortgage or in any agreement collateral thereto; and accordingly the said subsection shall have effect and be deemed always to have effect as if after the words "obtain possession of the land" there were inserted the words "whether by virtue of his estate or interest as mortgagee or of any attornment or other provision contained in the mortgage or in any agreement collateral thereto."

Restric-
tion on
delivery of
goods.

4.—(1) Subsection (3) of section one of the principal Act (which prevents persons proceeding without the leave of the court to execution on judgments and orders for the recovery of possession of land) shall have effect as if after the words "payment of money" there were inserted the words "or for the delivery of any property other than land by reason of a default in the payment of money."

(2) Where the appropriate court refuses leave under subsection (4) of section one of the principal Act to take possession of goods let under a hire-purchase agreement or to execute any judgment or order for the delivery of such goods, or gives such leave, subject to restrictions and conditions, and the hirer, before possession is taken or the judgment or order is executed, pays the hire-purchase price, the owner's title to the goods shall, notwithstanding any failure to pay the hire-purchase price at the times required by the agreement, vest in the hirer.

Minor
amend-
ments.

5.—(1) In relation to any application under the principal Act for leave to enforce a judgment or order for the recovery of possession of land in default of payment of rent, the references in subsection (4) of section one of the principal Act and in section two of this Act to the person liable to satisfy the judgment or order or to pay the rent or other debt or to perform the obligation in question shall be construed as referring only to the person against whom the judgment or order was made and who is or would be, but for any forfeiture incurred in consequence of the default, entitled to the benefit of the lease under which the rent was reserved.

(2) On any application under the principal Act for leave to enforce a judgment or order for the recovery in default of payment of rent of possession of land held in distinct parcels under one lease by two or more lessees, the court may (notwithstanding that a single rent was reserved by the lease and the proviso for re-entry in default of payment of the rent was not severable) order that the application shall be dealt with as if those parcels had been held under distinct leases and applications were being made for leave to enforce separate judgments or orders in relation thereto, and may make such consequential provision as seems just for the apportionment of the arrears of rent, for the relief of any lessee from forfeiture of the parcel held by him and for the adjustment of the rights and obligations under the lease of the parties to the application.

(3) In paragraph (c) of the proviso to subsection (1) of section one of the principal Act (which excepts from that subsection judgments and orders under which costs only are recoverable) the expression "costs" shall be deemed to include all charges and possession money payable to a sheriff in respect of interpleader proceedings taken by him.

6. This Act shall apply to Northern Ireland subject to the following modifications:—

Application to Northern Ireland.

(a) for the reference to the Rent and Mortgage Interest Restrictions Acts, 1920 to 1939, there shall be substituted a reference to the Rent and Mortgage Interest (Restrictions) Acts (Northern Ireland), 1920 to 1940 and to Part II of the Rent and Mortgage Interest (Restrictions) Act (Northern Ireland), 1940;

(b) for the reference to subsection (4) of section one hundred and forty-six of the Law of Property Act, 1925, there shall be substituted a reference to section four of the Conveyancing and Law of Property Act, 1892;

55 & 56 Vict. c. 13.

(c) For the reference to a sheriff there shall be substituted a reference to an under-sheriff.

7.—(1) This Act may be cited as the Courts (Emergency Powers) Amendment Act, 1940, and shall be construed as one with the Courts (Emergency Powers) Act, 1939, and this Act and that Act may be cited

Short title, construction and interpretation. 2 & 3 Geo. 6. c. 67.

together as the Courts (Emergency Powers) Acts, 1939 and 1940.

(2) In this Act the following expressions have the meanings hereby respectively assigned to them, that is to say :—

“armed forces of His Majesty” does not include the Local Defence Volunteers; “hire-purchase agreement,” “hire-purchase price,” “owner” and “hirer” have the meanings respectively assigned to them by section twenty-one of the Hire-Purchase Act, 1938;

1 & 2 Geo. 6.
c. 53.

“lease” includes an under-lease and any contract of tenancy, and the expressions “lessee” and “lessor” shall be construed accordingly;

“the principal Act” means the Courts (Emergency Powers) Act, 1939, as amended by the Possession of Mortgaged Land (Emergency Provisions) Act, 1939, and the Courts (Emergency Powers) (Scotland) Act, 1939.

2 & 3 Geo. 6.
c. 113.

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